



ENERGEN LIMITED

ABN 40 078 849 055

**Network Price List - Contestable Customers
(Network Use of System Prices)
2005/2006**

(Updated 21 December 2005)

To apply on and from 1 July 2005

The network prices set out in this document apply to the ENERGEN Limited area of supply: –

The Cities of Brisbane, Caloundra, Gold Coast, Ipswich, Logan and Redcliffe, the whole of the Shires of Beaudesert, Caboolture, Kilcoy, Laidley, Maroochy, Noosa, Pine Rivers and Redland, and parts of the Shires of Boonah, Cooloola, Crows Nest, Esk, Gatton, Kilkivan and Tiaro that are supplied from the State transmission grid.

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Definitions of Network User Groups

To provide the appropriate economic and cost of supply signals and consistent with the Network Pricing Principles Statement approved by the Queensland Competition Authority, there are three groups of contestable network users for whom network prices have been developed, namely:

- **Individually Calculated Customers (ICC's);**
- **Connection Asset Customers (incl Embedded Generators) (CAC's);**
- **Standard Asset Customers (SAC's).**

The purpose of the three contestable network user groups is to provide individual and direct cost of supply signals to those users who are capable of responding to the signals in the appropriate manner.

Site Specific Prices

Network Prices are calculated on a site specific basis for the following contestable network users and are not published in the public domain:

- **Individually Calculated Customer (ICC)** network prices will typically apply for all customers with energy consumption greater than 40 GWh/year, or where a customer's circumstances in a pricing zone mean that the average shared network charge becomes meaningless or distorted. ICC prices are based on actual TUOS charges for the relevant transmission connection point, plus charges associated with the actual shared distribution network utilised for the electricity supply plus connection charges based on actual connection assets utilised. This provides the greatest cost reflectivity for these customers and is feasible since the number of such customers is relatively small. It is also justified by virtue of the shared distribution network assets being designated specifically to meet the requirements of these customers. Where this designation of shared network assets is difficult due to the specific connectivity of the customer, ENERGEX may elect not to apply ICC pricing even though the customer's consumption is greater than 40 GWh/year.

ICC prices for customers with energy consumption lower than 40 GWh per annum could occur where:

- a customer has a dedicated supply system which is quite different and separate from the remainder of the supply network;
 - there are only two or three customers in a supply system making average prices inappropriate; or
 - inequitable treatment of otherwise comparable customers arising from the 40 GWh cut-off. Selection of these customers will be at the sole discretion of ENERGEX Limited (ENERGEX).
- **Connection Asset Customer (CAC)** network prices will typically apply to non-ICC customers with a current energy consumption greater than 4 GWh/year and an expectation that that consumption level will be sustained for a reasonable period. These charges are based on average shared network charges plus site specific connection charges based on the actual connection assets utilised. This provides a significant degree of cost reflectivity for this group of customers while recognising the practical difficulties of calculating individual shared network charges for each customer.

CAC prices for customers with energy consumption lower than 4 GWh per annum could occur where:

- a customer has a dedicated supply system which is quite different and separate from the remainder of the supply network; or
- inequitable treatment of otherwise comparable customers arising from the 4 GWh cut-off. Selection of these customers will be at the sole discretion of ENERGEX Limited.
- Embedded Generator (EG) network prices for connection and access services will be developed on a similar basis as CACs. This is due to the nature of connections that are typically non-standard and may require additional EG protection system upgrades. If the EG's installation is a net importer of energy and uses ENERGEX's network to meet its needs when the generator is not running, the appropriate customer network prices will apply. The EG will receive only a single charge for the connection assets regardless of whether it is importing or exporting.

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ENERGEX will provide these site specific network prices to the network users and their Retailer of Choice directly.

Standard Prices

Standard network prices will apply to contestable network users with consumption between 0.1 GWh and 4 GWh per year. **Standard Asset Customer (SAC)** network prices are based on the averages of both the shared network charges and connection charges for the customer group in the particular zone. SAC network prices for the relevant customer groups are published prior to each successive tranche of contestability and every year thereafter.

The following are the Network charge categories available for non site-specific contestable customers:

- *High Voltage Metered Demand* This network charge category available only to customers who have high voltage metering and take supply at high voltage. This category is NOT available to customers who have non-standard or significant connection assets provided by ENERGEX.
- *Large Demand, Medium Demand and Small Demand* are available to all standard asset customers. The network charge options are self-selecting, as customers will find an optimum selection based on their load characteristics.
- *Volume Only* This network charge category is available only to contestable customers who since becoming contestable have had a reduction in energy consumption to below 100 MW.h per year or whose load profile is such that the increase in the network price under a demand charge will exceed the QCA's side constraint. The application of this network charge is subject to approval by ENERGEX.

On being declared contestable, the Customer or its Retailer of Choice will nominate the Network Charge Category applicable to the site from either the Demand Large, Demand Medium, or Demand Small Categories.

Allocation of Transmission Use of System Costs (TUOS)

After the allocation of TUOS to all ICC's, an average TUOS c/kW.h is calculated for the remaining customers.

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Distribution Component of Network Prices (DUOS) for Standard Asset Customers (GST Inclusive)							
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Minimum Chargeable Demand kW	Maximum Allowable Demand kW	Service Availability Charge \$ per month	Demand Charge \$ per kW per month	Volume Charge Cents per kW.h
DH1	HV Demand with Distributor owned assets	N/A	Site Specific Prices				
DH2	High voltage Demand	FLCL	200	N/A	714.88	4.9632	0.1527
DL	Large Demand	FLCL	400	N/A	955.57	5.3878	0.1609
DM	Medium Demand	FLCL	120	600	258.17	6.8541	0.1643
DS	Small Demand	FLCL	20	180	22.00	11.0770	0.1733
SACV	Small Volume	FLCL	N/A	N/A	22.00	N/A	4.4000

Distribution Component of Network Prices (DUOS) for Standard Asset Customers (GST Exclusive)							
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Minimum Chargeable Demand kW	Maximum Allowable Demand kW	Service Availability Charge \$ per month	Demand Charge \$ per kW per month	Volume Charge Cents per kW.h
DH1	HV Demand with Distributor owned assets	N/A	Site Specific Prices				
DH2	High voltage Demand	FLCL	200	N/A	649.89	4.5120	0.1388
DL	Large Demand	FLCL	400	N/A	868.70	4.8980	0.1463
DM	Medium Demand	FLCL	120	600	234.70	6.2310	0.1494
DS	Small Demand	FLCL	20	180	20.00	10.0700	0.1575
SACV	Volume Only	FLCL	N/A	N/A	20.00	N/A	4.0000

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Transmission Component of Network Prices (TUOS) for Standard Asset Customers (GST Inclusive)							
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Minimum Chargeable Demand kW	Maximum Allowable Demand kW	Service Availability Charge \$ per month	Demand Charge \$ per kW per month	Volume Charge Cents per kW.h
DH1	HV Demand with Distributor owned assets	N/A	Site Specific Prices				
DH2	High voltage Demand	FLCL	200	N/A	163.79	0.5316	0.7299
DL	Large Demand	FLCL	400	N/A	150.81	0.5071	0.7582
DM	Medium Demand	FLCL	120	600	47.52	0.5003	0.7550
DS	Small Demand	FLCL	20	180	16.94	0.3933	0.7299
SACV	Volume Only	FLCL	N/A	N/A	N/A	N/A	0.9732

Transmission Component of Network Prices (TUOS) for Standard Asset Customers (GST Exclusive)							
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Minimum Chargeable Demand kW	Maximum Allowable Demand kW	Service Availability Charge \$ per month	Demand Charge \$ per kW per month	Volume Charge Cents per kW.h
DH1	HV Demand with Distributor owned assets	N/A	Site Specific Prices				
DH2	High voltage Demand	FLCL	200	N/A	148.90	0.4833	0.6635
DL	Large Demand	FLCL	400	N/A	137.10	0.4610	0.6893
DM	Medium Demand	FLCL	120	600	43.20	0.4548	0.6864
DS	Small Demand	FLCL	20	180	15.40	0.3575	0.6635
SACV	Volume Only	FLCL	N/A	N/A	N/A	N/A	0.8847

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Network Component of Network Prices (NUOS) for Standard Asset Customers (GST Inclusive)							
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Minimum Chargeable Demand kW	Maximum Allowable Demand kW	Service Availability Charge \$ per month	Demand Charge \$ per kW per month	Volume Charge Cents per kW.h
DH1	HV Demand with Distributor owned assets	N/A	Site Specific Prices				
DH2	High voltage Demand	FLCL	200	N/A	878.67	5.4948	0.8825
DL	Large Demand	FLCL	400	N/A	1106.38	5.8949	0.9192
DM	Medium Demand	FLCL	120	600	305.69	7.3544	0.9194
DS	Small Demand	FLCL	20	180	38.94	11.4703	0.9031
SACV	Volume Only	FLCL	N/A	N/A	22.00	N/A	5.3732

Network Component of Network Prices (NUOS) for Standard Asset Customers (GST Exclusive)							
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Minimum Chargeable Demand kW	Maximum Allowable Demand kW	Service Availability Charge \$ per month	Demand Charge \$ per kW per month	Volume Charge Cents per kW.h
DH1	HV Demand with Distributor owned assets	N/A	Site Specific Prices				
DH2	High voltage Demand	FLCL	200	N/A	798.79	4.9953	0.8023
DL	Large Demand	FLCL	400	N/A	1005.80	5.3590	0.8356
DM	Medium Demand	FLCL	120	600	277.90	6.6858	0.8358
DS	Small Demand	FLCL	20	180	35.40	10.4275	0.8210
SACV	Volume Only	FLCL	N/A	N/A	20.00	N/A	4.8847

Notes on Network Prices (Standard Asset Customers)

1. Demand and/or Volume are to be measured at each individual network metering point.
2. Minimum Chargeable Demand will be applied for each month where the monthly maximum demand fails to exceed this value.
3. The Volume Only network price is available only to those contestable customers who since entering the market have had a reduction in annual energy consumption to below 100 000 kW.h per year or where a customer's load profile is such that the annual increase in network price under a demand charge will exceed the QCA's side constraint.. This price is subject to annual review and may not be offered if an alternative network price is made available.
4. N/A – Not applicable.

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Distribution Component of Network Prices (DUOS) for Connection Asset Customers (GST Inclusive)						
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Fixed Charge \$ per month	Capacity Charge \$ per kW per month	Actual Demand Charge \$ per kW per month	Volume Charge Cents per kW.h
CAC110	110kV Bus	N/A	Site Specific	POA	POA	POA
CAC33	33kV Bus	N/A	Site Specific	0.3883	0.9372	0.1210
CAC11B	11kV Bus	N/A	Site Specific	0.8382	1.8139	0.1397
CAC11L	11kV Line	N/A	Site Specific	1.5191	3.2505	0.1595

Distribution Component of Network Prices (DUOS) for Connection Asset Customers (GST Exclusive)						
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Fixed Charge \$ per month	Capacity Charge \$ per kW per month	Actual Demand Charge \$ per kW per month	Volume Charge Cents per kW.h
CAC110	110kV Bus	N/A	Site Specific	POA	POA	POA
CAC33	33kV Bus	N/A	Site Specific	0.3530	0.8520	0.1100
CAC11B	11kV Bus	N/A	Site Specific	0.7620	1.6490	0.1270
CAC11L	11kV Line	N/A	Site Specific	1.3810	2.9550	0.1450

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Transmission Component of Network Prices (TUOS) for Connection Asset Customers (GST Inclusive)						
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Fixed Charge \$ per month	Capacity Charge \$ per kW per month	Actual Demand Charge \$ per kW per month	Volume Charge Cents per kW.h
CAC110	110kV Bus	N/A	Site Specific	POA	POA	POA
CAC33	33kV Bus	N/A	Site Specific	0.2178	N/A	0.3894
CAC11B	11kV Bus	N/A	Site Specific	0.3773	N/A	0.3894
CAC11L	11kV Line	N/A	Site Specific	0.3751	N/A	0.3894

Transmission Component of Network Prices (TUOS) for Connection Asset Customers (GST Exclusive)						
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Fixed Charge \$ per month	Capacity Charge \$ per kW per month	Actual Demand Charge \$ per kW per month	Volume Charge Cents per kW.h
CAC110	110kV Bus	N/A	Site Specific	POA	POA	POA
CAC33	33kV Bus	N/A	Site Specific	0.1980	N/A	0.3540
CAC11B	11kV Bus	N/A	Site Specific	0.3430	N/A	0.3540
CAC11L	11kV Line	N/A	Site Specific	0.3410	N/A	0.3540

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Network Component of Network Prices (NUOS) for Connection Asset Customers (GST Inclusive)						
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Fixed Charge \$ per month	Capacity Charge \$ per kW per month	Actual Demand Charge \$ per kW per month	Volume Charge Cents per kW.h
CAC110	110kV Bus	N/A	Site Specific	POA	POA	POA
CAC33	33kV Bus	N/A	Site Specific	0.6061	0.9372	0.5104
CAC11B	11kV Bus	N/A	Site Specific	1.2155	1.8139	0.5291
CAC11L	11kV Line	N/A	Site Specific	1.8942	3.2505	0.5489

Network Component of Network Prices (NUOS) for Connection Asset Customers (GST Exclusive)						
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Fixed Charge \$ per month	Capacity Charge \$ per kW per month	Actual Demand Charge \$ per kW per month	Volume Charge Cents per kW.h
CAC110	110kV Bus	N/A	Site Specific	POA	POA	POA
CAC33	33kV Bus	N/A	Site Specific	0.5510	0.8520	0.4640
CAC11B	11kV Bus	N/A	Site Specific	1.1050	1.6490	0.4810
CAC11L	11kV Line	N/A	Site Specific	1.7220	2.9550	0.4990

Notes on Table of Network Prices (Connection Asset Customers)

1. Demand and/or Volume are to be measured at the relevant metering point.
2. The Fixed Charge is dependent upon the assets dedicated to the customer and therefore is site specific.
3. The site-specific component of network prices for Connection Asset Customers are calculated on a site-specific basis and are not published in the public domain. ENERGEX Limited will provide the network prices to the network users and their Retailer of Choice.
4. N/A – Not applicable.
5. POA – Price on Application

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Contractual Provisions Associated with Network Prices

The following contractual provisions apply in relation to the application of network prices set out in this Network Price List:

Standard Asset Customers

1. The network prices applied by Retailers will be subject to review in line with the following provisions:
 - ENERGEX may review the network charge category selected by the Customer or their Retailer of Choice a few months after the customer enters the market.
 - ENERGEX must give the customer at least one month's notice of a proposed change in their network charge category.
 - The Customer or Retailer of Choice may elect to review applied network charge category three months after entering the contestable market.
 - The customer shall only be able to request that their network charge category be changed once in any twelve month period at no cost, unless there has been a substantial step load change.
 - Changes in network charge category will only proceed upon approval by ENERGEX Limited.
 - Any change of network charge category will take effect from the commencement of the next billing period.
2. Customers who exceed the maximum allowable demand applicable to their network charge category may, at the discretion of ENERGEX, be requested to modify their demand activity or be assigned the appropriate network charge category.

All Contestable Customers

1. Where ENERGEX's load control relays and associated metering exist, they may not be disconnected without ENERGEX's prior written consent.
2. Where applicable, service availability and demand charges will be calculated on a pro rata daily basis for initial and final accounts.
3. Customers or their Retailer of Choice will be billed on a monthly basis. Under 6.16.4 of the National Electricity Code, customers or their retailer of choice must pay network charges by the due date specified in the bill.

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ENERGEX 2005/2006 Distribution Loss Factors Guidelines for Non-ICC Customers

Note that this is a summary of ENERGEX's Distribution Loss Factor information, please refer to the NEMMCO website for further detail (www.nemmco.com) or contact ENERGEX Limited

DESCRIPTION	NEMMCO CODE	DLF
132/110 kV	FSSS	1.0049
33 kV	F3CL	1.0176
11 kV Bus	F1ZH	1.0229
11 kV Line	F1CH	1.0367
Low Voltage Bus	F1CL	1.0482
Low Voltage Line	FLCL	1.0819

Notes on Distribution Loss Factors

The Distribution Loss factors presented in the above table do not apply to Individually Calculated Customers

What is a Distribution Loss Factor?

The Distribution Loss Factor (DLF) is used to convert the customer's actual metered energy into the equivalent energy passing through the appropriate transmission network connection point (TNCP) by allowing for the distribution network losses that the customer's energy usage causes between their meter and the transmission network connection point.

The appropriate DLF and the applicable Transmission Loss Factor are to be applied to the metered consumption for retail billing and market settlement purposes.

Every contestable customer must have a DLF. The appropriate DLF is associated with the location of their metering point.

The Distribution Loss Factors in this guide are as defined by clause 3.6.3(d)(1) of the National Electricity Code.

DLF Categories:

132/110 kV	Applicable to all 132/110kV bus and line customers.
33 kV	Applicable to all 33kV bus and line customers.
11kV Bus	Applicable to bus connection points that are HV metered at a voltage less than 30kV and greater than 1,000 volts.
11kV Line	Applicable to line connection points that are HV metered at a voltage less than 30kV and greater than 1,000 volts.
Low Voltage Bus	Applicable to bus connection points that are LV metered at a voltage lower than 1,000 volts.
Low Voltage Line	Applicable to line connection points that are LV metered at a voltage lower than 1,000 volts.

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DLF Definitions:

132/110 kV	The 132/110 kV DLF will apply to all customers who are metered at 132 kV or 110 kV.
33 kV	The 33 kV DLF will apply to all customers who are metered at 33 kV.
11kV Bus	If customers believe that they qualify for an 11 kV Bus DLF rather than an 11 kV Line DLF they should submit details justifying their claim to ENERGEX. As an example, customers who are supplied from a Zone Substation by dedicated 11kV lines and are metered at or immediately adjacent to the Zone Substation would be eligible for a 11kV Bus DLF. Zone Substations are defined as Substations where the voltage level is stepped down from a voltage greater than 30kV.
11kV Line	The 11kV Line DLF will apply to all customers who are connected to high voltage distribution lines and are metered at the same voltage as the line is energised.
LV Bus	Customers who are supplied from a distribution substation on their site (owned or leased) and are metered at the low voltage level are eligible for a LV Bus DLF.
LV Line	All customers not covered by any of the above categories

DLF Application Rules:

1. The DLF's in this guide do NOT apply to ICC customers.
2. The Customer or Retailer of Choice (ROC) may select an alternative DLF for their connection if the default DLF is inappropriate. The Customer or ROC will be required to justify their selected DLF.
3. The DLF's will be reviewed and published on a periodic basis in line with the requirements of the National Electricity Code.
4. Where the voltage at the metering point is not listed, or there is doubt about the application of these rules, please request further advice from ENERGEX.

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ENERGEX 2005/2006 Network Prices for Franchise Customers

Currently, ENERGEX calculates franchise distribution charges on the basis of total franchise load. This approach derives an effective average franchise rate for both DUOS and TUOS and represents the network charge approved by the Authority for recovery from ENERGEX Retail for the franchise customers.

The following table lists the network tariffs approved by the Authority for franchise customers. These network tariffs are applied at the energy purchase level and are not applicable at individual customer level. For information about tariffs at individual customer level, please refer to the Table entitled "2005-06 Supplementary Network Prices for Franchise Customers" on page 14.

Network Prices for Franchise Customers (GST Exclusive)				
Network Charge Category	DUOS Charges		TUOS Charges	
	Fixed Charge (\$ / month)	Volume Charge (c/kW.h)	Fixed Charge (\$ / month)	Volume Charge (c/kW.h)
Franchise	7.08	3.0371	4.92	0.1708
Streetlights	6.38	3.0268	0.28	0.1635
Controlled Load (T31)	2.74	0.1729	1.45	0.1308
Controlled Load (T33)	2.69	0.9307	1.80	0.1521

Notes on Table of Network Prices For Franchise Customers

1. Franchise refers to SAC (<100 MW.h) and those customers within either the CAC or SAC (>100 MW.h) class who have elected to remain on the franchise rates.
2. T31 represents the off-peak hot water tariff.
3. T33 represents the controlled hot water tariff.

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ENERGEX 2005/2006 Supplementary Network Prices for Franchise Customers

To assist retailers in the lead-up to the introduction of full retail contestability in Queensland, ENERGEX has included the following supplementary network charges for current franchise customers. These network tariffs have not been approved by the QCA but are provided as supplementary information to the market.

2005-06 Supplementary Network Prices for Franchise Customers (GST Inclusive)			
Customer Class	Charge Component	Fixed (\$/month)	Volume (c/kW.h)
LV Energy (11-35kVA)	DUOS	13.97	4.6786
	TUOS	3.52	0.7784
	NUOS	17.49	5.4570
LV Energy (0-10kVA)	DUOS	4.40	4.0424
	TUOS	0.77	0.7784
	NUOS	5.17	4.8208
LV Energy Controlled Load 1 (Applicable to Franchise Tariff 31)	DUOS	3.08	0.1595
	TUOS	0.44	0.6227
	NUOS	3.52	0.7822
LV Energy Controlled Load 2 (Applicable to Franchise Tariff 33)	DUOS	3.08	1.0431
	TUOS	0.44	0.7239
	NUOS	3.52	1.7670

2005-06 Supplementary Network Prices for Franchise Customers (GST Exclusive)			
Customer Class	Charge Component	Fixed (\$/month)	Volume (c/kW.h)
LV Energy (11-35kVA)	DUOS	12.70	4.2533
	TUOS	3.20	0.7076
	NUOS	15.90	4.9609
LV Energy (0-10kVA)	DUOS	4.00	3.6749
	TUOS	0.70	0.7076
	NUOS	4.70	4.3825
LV Energy Controlled Load 1 (Applicable to Franchise Tariff 31)	DUOS	2.80	0.1450
	TUOS	0.40	0.5661
	NUOS	3.20	0.7111
LV Energy Controlled Load 2 (Applicable to Franchise Tariff 33)	DUOS	2.80	0.9483
	TUOS	0.40	0.6581
	NUOS	3.20	1.6064

Notes on Table of Supplementary Network Tariffs For Franchise Customers

1. The above network tariffs have been released to provide the market with information on charges that would apply to current franchise customers consuming less than 100MWh per annum in a fully contestable market.
2. Increases in network tariffs for franchise customers are not constrained under the QCA's 2005 Electricity Distribution Final Determination. As a result, due care should be exercised in using 2005-06 tariff levels as a guide to the levels likely to be applied in 2007-08.
3. ENERGEX will continue to refine its network tariff structure leading up to the introduction of FRC on 1 July 2007. ENERGEX anticipates that the scope and composition of the tariffs that will apply to all contestable customers may well differ from those shown above.